

an 8% equity loan is 6%. (See Chapter 9 for more on tax breaks for homeowners.)

- **Factor in up-front fees.** Some lenders charge hundreds or even thousands of dollars in initial fees when they grant home equity loans and lines of credit. But many lenders waive these fees entirely. Look carefully. And make sure that after you factor in the fees, it still makes sense for you to refinance.
- **Shop for the best deal for you.** If you've made up your mind to get a home equity loan, check out the websites of several different banks to get an idea of what's being offered where. You can also compare interest rates on HELs at www.credit.com, www.cardtrak.com, and www.bankrate.com.
- **Know the worst-case scenario with a variable interest rate.** The adjustable interest rates on some home equity lines can seem enticingly low at first, but many have first-year rates that can increase several percentage points in year two. Ask the loan officer how much the rate can rise and know how bad it could get.

BORROWING FROM FRIENDS AND RELATIVES

Jim wanted to pay off the \$3,000 balance he owed on his credit card, which charged a rate of 18%. His parents were willing to lend him the money to do it. Here are some steps they followed to make the transaction harmonious:

- **They made sure the deal was good for both parties.** Jim agreed to pay his parents back with interest, and they settled on a rate of 8%. Not only was this a good deal for Jim, but it was also beneficial to his parents, whose money had formerly been sitting in a bank savings account earning just 4%.